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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Yes, We Like the Tech Sector

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Last Week's S&P 500 Index:
-0.2%

Key takeaways

- *We currently rate the Information Technology sector as favorable based on our Four Pillar methodology.*
- *Tech looks most attractive on a return on equity, valuation and forecast total yield basis.*

Many investors would be surprised to find out that since the March 2009 financial-crisis lows in the S&P 500 Index (just under 667 on an intraday basis), Information Technology (IT) has not been the best performer of the 11 sectors. Most, we suspect, would assume that the IT sector has been at the top of the heap since the crisis lows given the amount of time the financial media spend covering the sector. But the Consumer Discretionary (CD) sector has substantially outperformed IT (+569% vs. +472%, excluding dividends). The CD sector is normally an early-cycle outperformer, but in this slow moving recovery, its superior relative return has lasted far longer than is typical. And IT, while having some cyclical (economically sensitive) characteristics, is oftentimes largely dependent on whether there is a "new" technology that is being readily adapted by a wide audience. We currently rate the IT sector as favorable within our five-tier system based on our Four Pillar analytical methodology.

Just what makes this sector attractive? Based on our methodology, relative to the other 10 sectors, IT ranks first in terms of the Quality Pillar, second in terms of the Value Pillar, third in terms of the Growth Pillar, and in the middle of the pack in terms of the Economic Pillar.

Within Quality, return on equity (ROE) is higher than any of the other sectors. The sector has also maintained healthy leverage ratios. Both of these factors are attractive as we move into the latter stages of this cycle as investors tend to move funds toward better-quality companies. In terms of the Value Pillar, the pullback in the stock market last fall prompted us to upgrade IT from its previous neutral rating. Current analyses of the trailing price-to-earnings (P/E) and price-to-free-cash-flow ratios both show the sector as attractive relative to the other sectors. Forecast total yield appears attractive as IT companies raise dividends and use cash to buy back shares. We want to take advantage of these current lower valuations. IT also ranks highly from a Growth Pillar standpoint as forecast forward 12-month earnings growth as well as the dividend growth trend both look strong on a relative basis. Overall, we continue to believe that the IT sector offers an opportunity investors should take advantage of.

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Sector investing can be more volatile than investments that are broadly diversified over numerous sectors of the economy and will increase a portfolio's vulnerability to any single economic, political, or regulatory development affecting the sector. This can result in greater price volatility. **Technology** sector include increased competition from domestic and international companies, unexpected changes in demand, regulatory actions, technical problems with key products, and the departure of key members of management. Technology and Internet-related stocks smaller, less-seasoned companies, tend to be more volatile than the overall market.

Definitions

An index is unmanaged and not available for direct investment.

S&P 500 Index is a market capitalization-weighted index composed of 500 widely held common stocks that is generally considered representative of the US stock market.

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